Episode C4 | *Correcting Market Failures*

We can offset the problems of externalities with the problems of taxes.

Corrective taxes

Story Board

1. How does the social planner get prices such that $q_s = q_d = q_{SOC}$?
2. If the price is set at buyers WTP, excess.
3. If the price is set at sellers WTS, shortage.
4. A tax or subsidy equal to the externality sets $q_s = q_d = q_{SOC}$.
5. Subsidy

As you might suspect from the names these are the components of the good that are private. And as we've done repeatedly we can find the equilibrium price and quantity ignoring externalities by intersecting the private supply and private demand curves. This is what we'll call the private equilibrium.

In the presence of this negative externality though looking only at the private supply and private demand curves ignores the externalized costs.